

Banks - China

Weekly Wrap: Stable LPR, Tighter Audits, and record A-share margin financing

Industry Overview

Sector performance

H-share bank sector was down 4.5% (vs HSI -5.2%). ICBC (-3.4%) outperformed, while CNCB (-6.5%) underperformed. Sector P/B: 0.50x, P/E: 5.5x, dividend yield: 5.7%. **A-share bank sector** decreased 1.6% (vs CSI300 -1.5%), with PSBC (+1.2%) leading and BOSZ (-6.1%) lagging. Sector P/B: 0.61x, P/E: 6.6x, dividend yield: 4.7%. Southbound investors net bought CQRB, net sold CMB most among China banks.

Weekly Market Review

Macro: Dragon Boat holiday foot traffic and sales at 78 key retail districts rose 4.0% and 3.5% YoY during June 19-20, while '618' e-commerce sales were broadly flat YoY; authorities issued an AI+consumption plan and will allocate the third batch of RMB62.5bn trade-in funds by end-June. Youth unemployment fell to 15.6% in May, down 0.7ppt MoM to an 11-month low. China also moved to stabilize hog prices, announced 15 FDI measures, and added 10 US entities to the export-control list. **Fiscal:** Fiscal revenue rose 4% YoY to RMB10.05tn in 5M26, with securities transaction stamp tax up 88.8% to RMB126bn, but fiscal spending fell for a second month, and regulators found inflated fiscal revenue in 21 regions and RMB40bn of over-collection. SOE/LGFV reform also tightened, with audits finding fake LGFV exits, fake debt resolution and borrowing via SOEs. **Monetary:** China kept the June LPR unchanged for a 13th straight month, with the 1-year and 5-year LPRs at 3.00% and 3.50%, respectively. The draft PBOC law revision and draft financial law were submitted for first reading, strengthening central bank governance and financial rule of law. **Liquidity:** NCD issuance hit a YTD high of RMB1.2tn in one week, and June net financing turned positive. The PBOC conducted RMB500bn of MLF on June 25, implying RMB200bn of net MLF injection in June, although medium-term liquidity operations were still down RMB100bn for the month. **A-share:** A-share margin trading balance topped RMB3tn for the first time; SZSE is set for its largest-ever IPO at RMB24.5bn, and the SSE launched its "quality, efficiency and returns" 2.0 initiative with more quantifiable metrics. **Financials:** Regulation tightened on assisted lending, wealth products, precious metals, AI and bank compliance, with assisted-loan growth capped below self-operated loan growth, consumer-loan KPIs shifting toward quality, precious-metals margins up to 140%, and more bank fines. SAFE reported that China banks' external assets and liabilities rose 6.63% and 5.25% QoQ to USD2.1tn and USD1.5tn, respectively. Cross-border channels cooled as regulators halted new equity-linked cross-border TRS business at brokerages and QDII funds continued to cut subscription limits. **Property:** Qiushi again urged faster household balance-sheet repair and property-market stabilization. Dragon Boat housing sales showed some improvement, with Shanghai new-home sales doubling and Shenzhen transactions reaching a five-year high. **Company news:** China's audit authority found BOC avoided RMB2.367bn in taxes; Fosun cut its CQRB stake multiple times YTD, cashing out HK\$400mn; CMB president nominee Wang Xiaoqing outlined strategy; BOSZ updated its RMB981mn loan dispute; BOCD Qi Jiaojiao was approved as vice president.

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Refer to important disclosures on page 12 to 13.

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LGFV: Local Government Financing Vehicle

LPR: Loan Prime Rate

MLF: Medium-term Lending Facility

PBOC: People's Bank of China

NFRA: National Financial Regulatory Administration

CSRC: China Securities Regulatory Commission

NCD: Negotiable Certificate of Deposit

QDII: Qualified Domestic Institutional Investor

TRS: Total Return Swap

SAFE: State Administration of Foreign Exchange

See additional abbreviations at the end of the report

Performance and valuation

Exhibit 1: China/HK banks: price performance and 12-month forward valuation

ICBC/PSBC-A/StanChart outperformed, while CNCB/BOSZ/BOCHK underperformed among H-share China banks/A-share China banks/HK banks, respectively

		Price performance								12mth forward valuation		
H-Share CN Banks	BBG ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD	P/B	P/E	Dividend yield
ABC	1288 HK	311.4	5.33	-6.0%	-7.6%	+2.1%	-2.6%	-1.1%	-5.5%	0.52x	5.5x	5.5%
BOC	3988 HK	256.0	5.06	-4.0%	-2.7%	+4.5%	+14.2%	+9.6%	+13.5%	0.47x	5.7x	5.6%
BoComm	3328 HK	82.2	6.97	-4.3%	-2.8%	+0.6%	+8.9%	-5.4%	+8.1%	0.45x	5.5x	5.7%
CCB	939 HK	283.7	8.26	-4.2%	-5.4%	+3.1%	+9.3%	+4.3%	+7.4%	0.48x	5.3x	5.7%
ICBC	1398 HK	356.7	6.62	-3.4%	-2.4%	+3.8%	+11.1%	+11.4%	+8.2%	0.50x	5.3x	5.8%
PSBC	1658 HK	84.6	4.77	-3.6%	-5.2%	-2.9%	-7.8%	-12.6%	-8.0%	0.46x	5.6x	5.6%
CEB	6818 HK	25.3	3.13	-4.3%	+3.6%	-4.0%	-12.1%	-17.9%	-11.1%	0.28x	4.4x	6.8%
CMB	3968 HK	135.4	44.70	-5.2%	-2.8%	-8.8%	-11.4%	-15.8%	-13.4%	0.78x	6.3x	5.1%
CNCB	998 HK	55.6	6.80	-6.5%	-8.7%	-11.2%	+2.0%	-7.4%	+0.7%	0.40x	4.6x	6.8%
MSB	1988 HK	20.6	3.21	-5.6%	-5.0%	-14.7%	-17.1%	-26.2%	-16.8%	0.20x	4.3x	7.0%
CQRB	3618 HK	10.1	5.96	-5.2%	-8.0%	-9.5%	+2.8%	-9.9%	+2.8%	0.40x	4.3x	7.1%
Weighted average				-4.5%	-4.3%	+1.0%	+4.6%	+1.4%	+2.7%	0.50x	5.5x	5.7%
A-share CN Banks	BBG ticker	Market cap (USD bn)	Price (RMB)	1W	1M	3M	6M	1Y	YTD	P/B	P/E	Dividend yield
ABC	601288 CH	311.4	6.19	-2.8%	-3.6%	-3.1%	-16.0%	+7.6%	-17.8%	0.69x	7.4x	4.1%
BOC	601988 CH	256.0	5.76	-0.3%	-2.5%	+3.2%	+2.7%	+1.2%	+0.5%	0.63x	7.5x	4.3%
BoComm	601328 CH	82.2	6.51	-2.5%	-1.4%	-5.1%	-9.8%	-20.0%	-10.2%	0.49x	6.0x	5.3%
CCB	601939 CH	283.7	9.78	-1.4%	-5.1%	+3.6%	+7.6%	+4.3%	+5.4%	0.66x	7.2x	4.2%
ICBC	601398 CH	356.7	7.15	-0.1%	-0.4%	-1.4%	-6.3%	-1.5%	-7.8%	0.62x	6.7x	4.6%
PSBC	601658 CH	84.6	4.92	+1.2%	-1.4%	-3.7%	-6.8%	-11.1%	-7.6%	0.55x	6.7x	4.7%
CEB	601818 CH	25.3	2.97	-3.6%	-3.9%	-10.0%	-12.7%	-26.9%	-12.2%	0.31x	4.8x	6.2%
CMB	600036 CH	135.4	36.00	-3.4%	-2.7%	-9.0%	-11.4%	-19.5%	-12.3%	0.73x	5.9x	5.4%
CNCB	601998 CH	55.6	7.13	-1.9%	-3.8%	-12.7%	-1.4%	-12.9%	-5.0%	0.49x	5.5x	5.6%
MSB	600016 CH	20.6	3.29	-5.5%	-6.5%	-14.3%	-14.8%	-29.7%	-14.1%	0.23x	5.1x	5.9%
CIB	601166 CH	52.2	16.77	-3.2%	-3.4%	-8.7%	-16.1%	-26.6%	-15.7%	0.39x	4.6x	6.6%
SPDB	600000 CH	42.9	8.76	-3.6%	-5.5%	-12.9%	-25.3%	-33.7%	-29.6%	0.36x	5.5x	5.2%
PAB	000001 CH	29.2	10.23	-2.8%	-2.1%	-3.4%	-8.4%	-13.1%	-7.4%	0.39x	4.6x	5.9%
BOCD	601838 CH	11.2	17.96	-3.8%	-2.7%	+5.0%	+9.7%	-9.9%	+11.4%	0.73x	5.3x	5.6%
BOHZ	600926 CH	15.8	14.85	-5.1%	-6.0%	-9.5%	-1.0%	-11.4%	-1.2%	0.66x	4.8x	5.2%
BOJS	600919 CH	29.9	11.09	-1.2%	+0.4%	+1.9%	+11.8%	-6.3%	+10.1%	0.65x	5.4x	5.8%
BONB	002142 CH	30.2	31.13	+1.1%	+0.6%	+2.3%	+11.2%	+13.6%	+10.8%	0.79x	6.1x	4.4%
BONJ	601009 CH	18.6	10.24	-5.6%	-3.0%	-7.2%	-7.0%	-10.9%	-8.7%	0.60x	5.1x	6.0%
BOSZ	002966 CH	4.7	7.12	-6.1%	-12.0%	-13.7%	-13.0%	-18.4%	-12.4%	0.54x	5.4x	5.8%
CQRB	601077 CH	10.1	6.30	+0.6%	-5.7%	-10.3%	+4.5%	-11.1%	+2.6%	0.49x	5.3x	5.8%
CSRB	601128 CH	3.2	5.92	-5.1%	-6.8%	-7.1%	-6.2%	-11.6%	-5.9%	0.59x	4.6x	4.7%
SHRB	601825 CH	11.5	8.09	-1.3%	-4.8%	-9.9%	-10.6%	-16.7%	-12.9%	0.56x	6.2x	5.5%
Weighted average				-1.6%	-2.8%	-2.3%	-5.2%	-4.2%	-6.7%	0.61x	6.6x	4.7%
HK Banks	BBG ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD	P/B	P/E	Dividend yield
BOCHK	2388 HK	61.4	45.56	-5.4%	-5.6%	+10.7%	+16.2%	+32.9%	+16.3%	1.25x	11.1x	5.3%
BEA	23 HK	4.3	12.67	-0.5%	-10.5%	-5.8%	-4.4%	+7.2%	-3.4%	0.31x	7.1x	6.7%
HSBC	5 HK	323.6	147.70	-0.9%	+1.5%	+19.0%	+23.2%	+62.3%	+24.6%	1.69x	10.8x	4.6%
StanChart	2888 HK	58.9	210.80	-0.1%	+1.6%	+26.8%	+14.0%	+68.7%	+14.3%	1.18x	10.5x	2.9%
Weighted average				-1.4%	+0.4%	+18.7%	+20.8%	+58.6%	+21.9%	1.55x	10.8x	4.5%
Major indices	BBG ticker	Price		1W	1M	3M	6M	1Y	YTD			
MSCI China	MXCN Index	70.7		-3.7%	-8.7%	-9.9%	-15.3%	-8.1%	-14.9%			
HSI	HSI Index	22,672		-5.2%	-11.4%	-8.8%	-12.2%	-6.8%	-11.5%			
HK Financials	H-FIN Index	20,027		-4.7%	-6.4%	-2.7%	-6.9%	-3.2%	-6.8%			
Hang Seng TECH	HSTECH Index	4,256		-7.6%	-14.0%	-10.6%	-22.6%	-20.4%	-22.8%			
China Internet ETF	KWEB US	23.6		-6.4%	-12.2%	-18.9%	-31.5%	-27.2%	-30.6%			
SSE50	SSE50 Index	2,907		-0.7%	-2.2%	+2.9%	-4.5%	+6.2%	-4.1%			
CSI300	SHSZ300 Index	4,868		-1.5%	-1.6%	+8.7%	+4.5%	+23.4%	+5.1%			
CSI500	SH000905 Index	8,704		+0.4%	+0.5%	+13.9%	+16.7%	+49.1%	+16.6%			
S&P500	SPX Index	7,357		-1.9%	-1.6%	+11.6%	+6.1%	+20.8%	+7.5%			
NASDAQ	CCMP Index	25,359		-4.4%	-3.7%	+15.6%	+7.4%	+27.0%	+9.1%			
US banks	BKX Index	184.6		+2.7%	+9.7%	+19.8%	+9.6%	+35.5%	+12.5%			
EU banks	SX7P Index	400.2		+0.1%	+6.3%	+19.4%	+13.4%	+47.1%	+12.6%			

Source: Bloomberg; as of June 26, except for US/EU ones which were as of June 25, four trading days for CN/HK this week. BBG = Bloomberg. M = month. W = week. Y = year.

Exhibit 2: China Life/China Life-A/China Merchants Securities/China Securities-A/East Money outperformed, while Zhong An /China Pacific-A/China Galaxy Securities/Orient Securities-A/HKEX underperformed

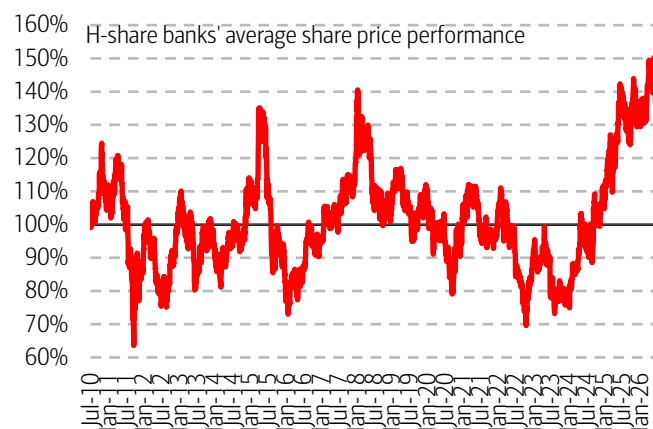
China insurance, brokers, and diversified financials' price performance

				Price performance					
H-Share Insurance	Bloomberg ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD
China Life	2628 HK	132.8	26.92	-3.9%	-8.5%	+7.5%	-5.3%	+43.2%	-1.7%
China Pacific	2601 HK	38.2	27.00	-5.3%	-12.8%	-11.5%	-21.3%	+0.8%	-20.0%
New China Life	1336 HK	24.4	46.38	-6.9%	-5.9%	-0.9%	-16.1%	+10.1%	-14.7%
PICC Group	1339 HK	41.3	4.70	-8.9%	-13.0%	-19.7%	-32.0%	-20.3%	-30.4%
PICC P&C	2328 HK	40.7	14.36	-4.6%	-2.3%	-4.1%	-13.5%	-6.0%	-12.2%
Ping An	2318 HK	122.0	50.55	-6.1%	-13.7%	-10.0%	-21.0%	+4.4%	-19.7%
China Taiping	966 HK	8.4	18.40	-5.6%	-11.6%	-12.2%	-4.7%	+18.2%	-1.6%
Zhong An	6060 HK	2.0	9.08	-10.5%	-15.4%	-31.4%	-43.7%	-51.2%	-43.6%
AIA	1299 HK	93.4	70.80	-3.9%	-14.6%	-17.2%	-13.5%	+2.1%	-9.9%
Weighted average				-5.2%	-11.0%	-6.8%	-15.4%	+11.4%	-13.0%
A-share Insurance	Bloomberg ticker	Market cap (USD bn)	Price (RMB)	1W	1M	3M	6M	1Y	YTD
China Life	601628 CH	132.8	35.04	+4.0%	+3.7%	-7.2%	-24.9%	-15.4%	-23.0%
China Pacific	601601 CH	38.2	28.43	-5.2%	-14.4%	-23.3%	-32.8%	-22.2%	-32.2%
New China Life	601336 CH	24.4	59.60	+3.6%	-0.9%	-6.5%	-16.4%	+2.9%	-14.5%
PICC Group	601319 CH	41.3	6.91	+3.9%	-2.7%	-11.0%	-25.1%	-21.4%	-22.8%
Ping An	601318 CH	122.0	47.23	-4.4%	-10.1%	-14.1%	-31.4%	-11.3%	-28.6%
Weighted average				+0.1%	-4.0%	-11.6%	-27.4%	-14.2%	-25.3%
H-Share Brokers	Bloomberg ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD
China Galaxy Securities	6881 HK	16.7	7.21	-4.9%	-10.5%	-17.6%	-29.7%	-16.3%	-28.1%
China Merchants Securities	6099 HK	25.1	16.95	+1.5%	+9.3%	+29.9%	+20.3%	+20.6%	+21.6%
China Securities	6066 HK	30.8	11.97	+1.1%	+2.2%	+14.9%	-8.1%	+16.7%	-6.8%
CICC	3908 HK	20.1	19.92	-1.1%	-3.5%	+14.5%	-0.9%	+13.1%	+1.8%
CITIC Securities	6030 HK	58.6	26.56	-0.6%	+3.2%	+13.7%	-1.5%	+14.1%	-1.3%
Everbright Securities	6178 HK	9.0	7.49	-3.2%	-3.2%	-1.6%	-16.5%	-14.6%	-15.7%
GF Securities	1776 HK	23.4	16.43	-3.1%	+0.6%	+11.3%	-9.2%	+25.2%	-6.7%
Guotai Haitong Securities	2611 HK	42.5	14.31	-2.6%	+8.4%	+9.1%	-13.5%	+16.9%	-11.4%
Huatai Securities	6886 HK	25.5	16.50	-2.6%	+4.0%	+8.2%	-14.9%	+8.7%	-12.3%
Orient Securities	3958 HK	11.0	5.42	-1.5%	-5.6%	+3.9%	-18.4%	+2.7%	-17.6%
Weighted average				-1.4%	+2.4%	+11.0%	-7.1%	+12.5%	-5.6%
A-share Brokers	Bloomberg ticker	Market cap (USD bn)	Price (RMB)	1W	1M	3M	6M	1Y	YTD
China Galaxy Securities	601881 CH	16.7	12.47	+3.1%	-1.0%	-5.4%	-22.1%	-26.3%	-20.7%
China Merchants Securities	600999 CH	25.1	20.48	+10.2%	+14.6%	+35.0%	+22.3%	+18.9%	+23.1%
China Securities	601066 CH	30.8	30.25	+21.5%	+27.5%	+40.9%	+13.5%	+26.8%	+13.7%
CICC	601995 CH	20.1	35.56	+6.5%	+3.4%	+10.3%	-0.1%	+0.7%	+1.6%
CITIC Securities	600030 CH	58.6	27.74	+4.4%	+7.6%	+16.8%	-2.1%	+4.2%	-0.8%
Everbright Securities	601788 CH	9.0	14.51	+2.3%	-1.1%	-4.5%	-18.5%	-19.5%	-17.3%
GF Securities	000776 CH	23.4	22.35	+8.3%	+16.7%	+23.3%	+0.7%	+33.1%	+1.5%
Guotai Haitong Securities	601211 CH	42.5	17.40	+2.7%	+16.0%	+5.9%	-14.5%	-6.6%	-13.7%
Huatai Securities	601688 CH	25.5	20.41	+4.4%	+9.2%	+10.8%	-14.6%	+16.7%	-13.5%
Orient Securities	600958 CH	11.0	9.39	+2.0%	-2.2%	+4.1%	-14.3%	-2.9%	-13.9%
Weighted average				+6.9%	+11.3%	+16.4%	-3.1%	+7.0%	-2.1%
Diversified Financials	Bloomberg ticker	Market cap (USD bn)	Price (HKD; USD)	1W	1M	3M	6M	1Y	YTD
Futu	FUTU US	13.8	98.12	+1.5%	+9.3%	-29.1%	-39.5%	-19.8%	-39.3%
Tiger Brokers	TIGR US	0.9	4.61	-2.1%	+5.7%	-30.2%	-48.9%	-53.7%	-51.8%
Qifu Technology	QFIN US	1.8	15.01	-1.3%	+28.8%	+21.2%	-19.7%	-63.9%	-17.5%
Lufax	LU US	1.1	1.23	-1.6%	-25.0%	-36.3%	-53.4%	-56.1%	-52.0%
FinVolution	FINV US	1.1	4.71	+0.9%	+4.9%	+5.7%	-7.8%	-48.7%	-4.2%
Lexin	LX US	0.3	1.97	-1.5%	+0.5%	-5.1%	-36.9%	-71.2%	-34.4%
HKEX	388 HK	58.6	362.20	-3.4%	-10.7%	-7.3%	-10.3%	-11.2%	-9.7%
East Money	300059 CH	46.7	20.07	+7.9%	+0.1%	+5.5%	-14.6%	-12.8%	-13.0%
Weighted average				+1.5%	-3.7%	-4.8%	-15.9%	-14.7%	-15.0%

Source: Bloomberg; as of June 26, except for ADRs which were as of June 25, four trading days for CN/HK this week

Exhibit 3: H-share banks' avg. share price is near historical peak level

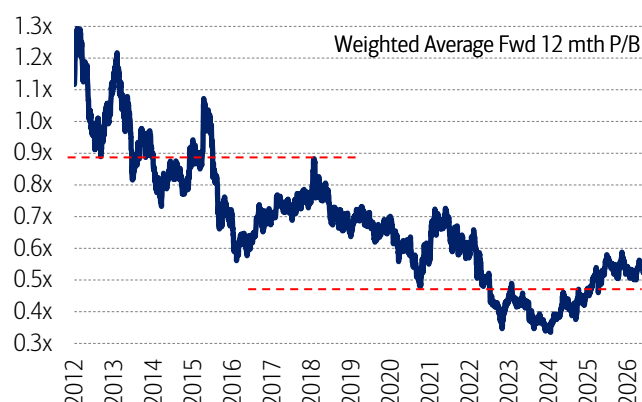
H-share banks' weighted-average stock price performance



Source: Bloomberg, share price here doesn't adjust for dividend; as of June 26; LT=Long Term
BofA GLOBAL RESEARCH

Exhibit 4: P/B declined from 0.53x to 0.50x WoW

H-share banks' forward P/B valuation since 2012



Source: Bloomberg, share price here doesn't adjust for dividend; as of June 26; LT=Long Term
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A-H share premium**Exhibit 5: A-H share premium fluctuated by -0.4ppt to +6.6ppt WoW for our covered banks**

A-H share premium data for dual-listed banks

	ABC	BOC	BoComm	CCB	ICBC	PSBC	CEB	CMB	CNCB	MSB	CQRB	Average
Current	33.9%	31.2%	7.7%	36.5%	24.5%	18.9%	9.4%	-7.1%	20.9%	18.2%	21.9%	19.6%
WoW	+3.8ppt	+4.3ppt	+1.4ppt	+3.3ppt	+3.5ppt	+5.2ppt	+0.3ppt	+1.4ppt	+5.1ppt	-0.4ppt	+6.6ppt	+3.2ppt
YTD	-14.9ppt	-11.8ppt	-17.5ppt	+2.1ppt	-16.6ppt	+4.5ppt	+2.4ppt	+4.3ppt	-2.7ppt	+9.6ppt	+4.3ppt	-3.3ppt
vs 2025 avg	+0.8ppt	-5.9ppt	-10.8ppt	+0.7ppt	-15.1ppt	+2.9ppt	-10.6ppt	-3.7ppt	-2.9ppt	+4.7ppt	+0.2ppt	-3.6ppt

Source: Bloomberg, as of June 26. Share price here doesn't adjust for dividend.

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Stock Connect Holdings**Exhibit 6: This week, southbound investors bought CQRB, sold CMB most**

Shanghai/Shenzhen-HK Stock Connect Holdings

Southbound holdings in H-share China banks and HK banks (% of HK shares)															
	ABC	BOC	BoComm	CCB	ICBC	PSBC	CEB	CMB	CNCB	MSB	CQRB	BOCHK	BEA	HSBC	StanChart
% stake	50.46%	34.66%	8.14%	15.11%	41.91%	30.61%	18.18%	31.57%	29.55%	29.17%	37.93%	4.05%	0.07%	8.90%	1.47%
WoW	-3bp	+6bp	+6bp	+2bp	-10bp	+7bp	+7bp	-12bp	-7bp	+0bp	+33bp	+7bp	-1bp	-2bp	-5bp
YTD	+354bp	+358bp	+78bp	+104bp	+186bp	-4bp	-42bp	+267bp	-31bp	+111bp	-139bp	+43bp	+5bp	-20bp	+1bp
Southbound holdings in H-share China banks and HK banks (% of total shares)															
	ABC	BOC	BoComm	CCB	ICBC	PSBC	CEB	CMB	CNCB	MSB	CQRB	BOCHK	BEA	HSBC	StanChart
% stake	4.43%	9.00%	3.23%	13.90%	10.21%	5.06%	3.90%	5.75%	7.91%	5.55%	8.40%	4.06%	0.08%	8.90%	1.47%
WoW	-0bp	+1bp	+2bp	+2bp	-2bp	+1bp	+1bp	-2bp	-2bp	+0bp	+7bp	+7bp	-1bp	-2bp	-6bp
YTD	+31bp	+93bp	+32bp	+97bp	+46bp	-1bp	-9bp	+49bp	-8bp	+21bp	-31bp	+44bp	+6bp	-20bp	+1bp

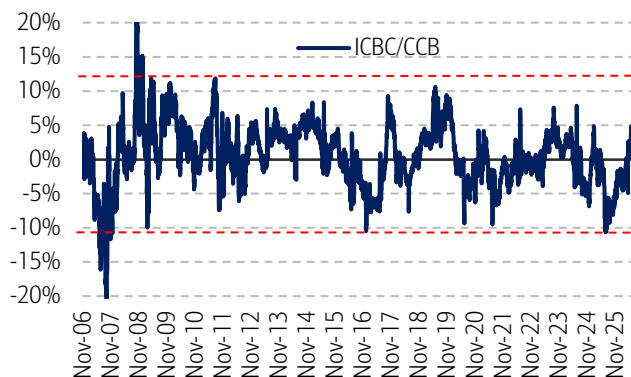
Source: Wind, as of June 25. Starting from 19 August 2024, Stock Connect Northbound Shareholding information will only be available on a quarterly basis.

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Relative valuation

Exhibit 7: ICBC and CCB have been trading closely to each other historically

Relative P/B: ICBC's premium over CCB

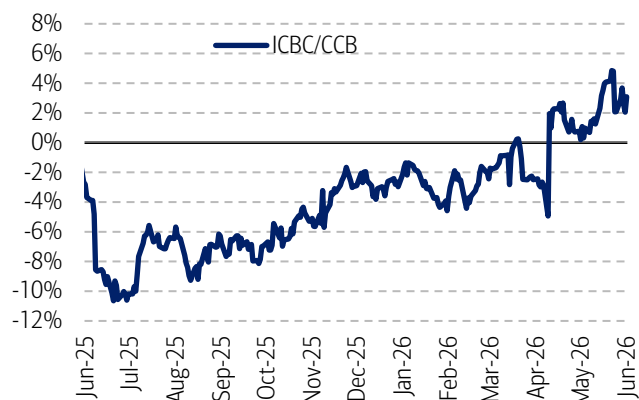


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 8: ICBC's premium to CCB enlarged from 2.1% to 3.1% WoW

Relative P/B: ICBC's premium over CCB (LTM)

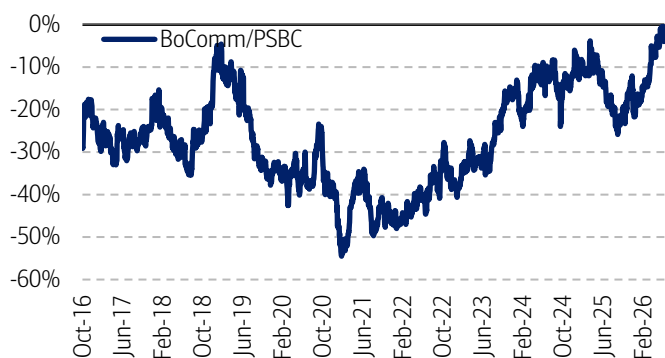


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 9: BoComm traded closely to PSBC with minor discount

Relative P/B: BoComm's discount to PSBC

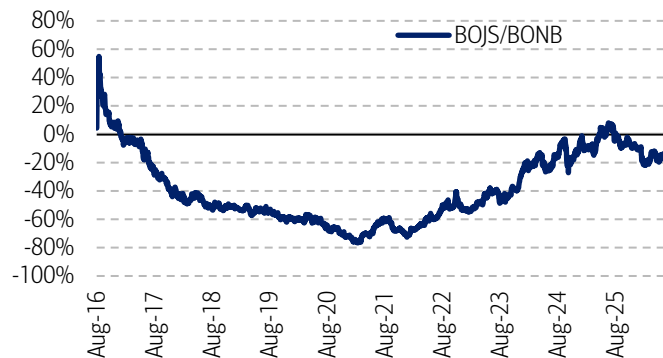


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 10: BOJS's discount to BONB was largely stable WoW

Relative P/B: BOJS's discount to BONB

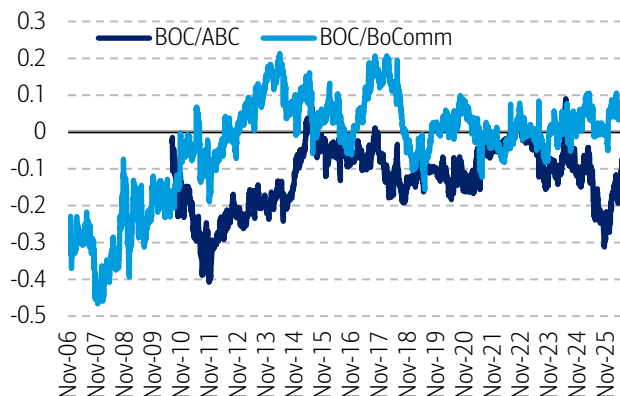


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 11: BOC's P/B was 8% lower than ABC and 5% higher than BoComm

Relative P/B: BOC's premium over ABC & BoComm

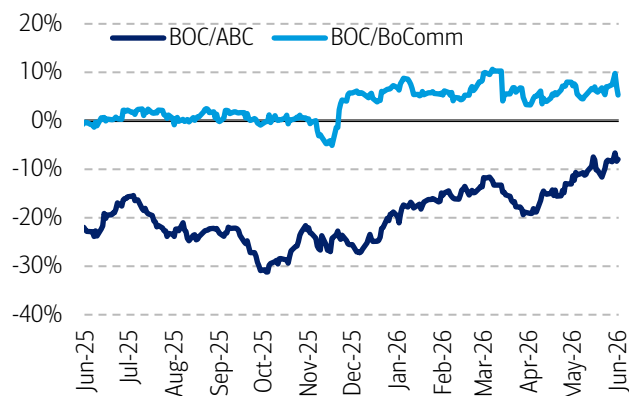


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 12: BOC's discount to ABC unchanged, premium over BoComm narrowed WoW

Relative P/B: BOC's premium over ABC & BoComm (LTM)

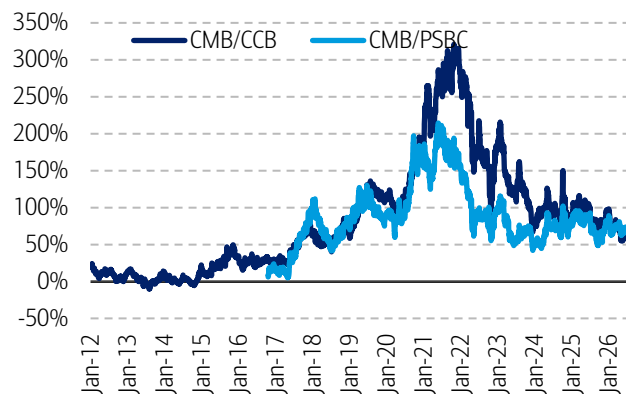


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 13: CMB's P/B was 61% and 69% higher than CCB and PSBC

Relative P/B: CMB's premium over CCB & PSBC

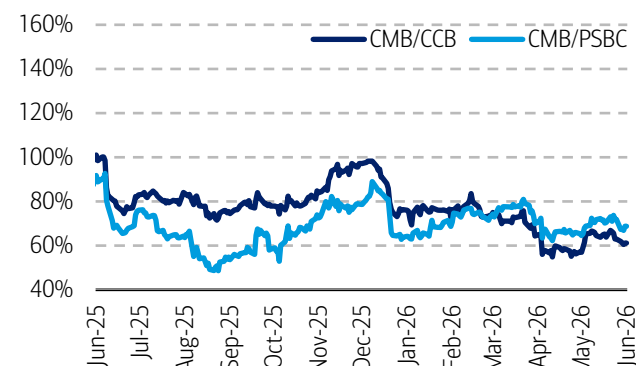


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 14: CMB's P/B premium over CCB and PSBC both narrowed, WoW

Relative P/B: CMB's premium over CCB & PSBC (LTM)

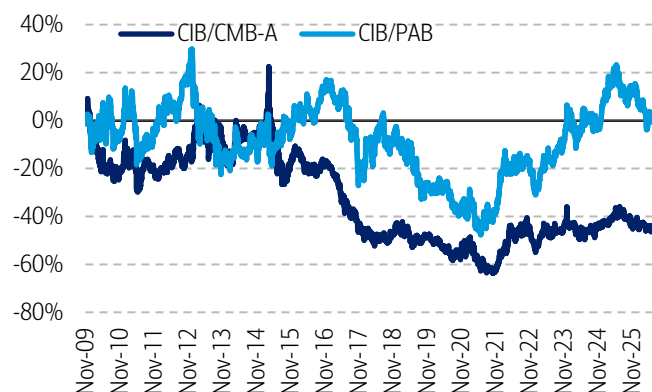


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 15: CIB's P/B was 46% lower than CMB-A's and same as PAB's

Relative P/B: CIB's discount to CMB-A & PAB

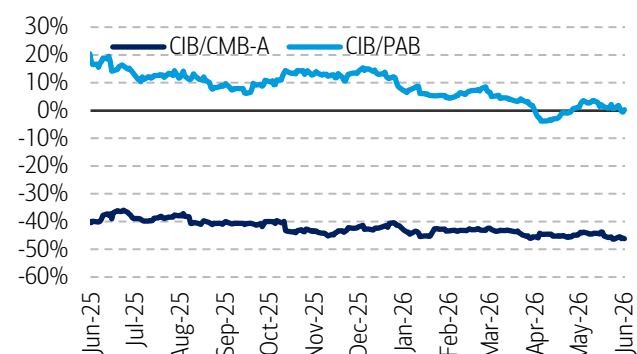


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 16: CIB's discount to CMB-A unchanged, premium over PAB narrowed WoW

Relative P/B: CIB's discount to CMB-A & PAB (LTM)

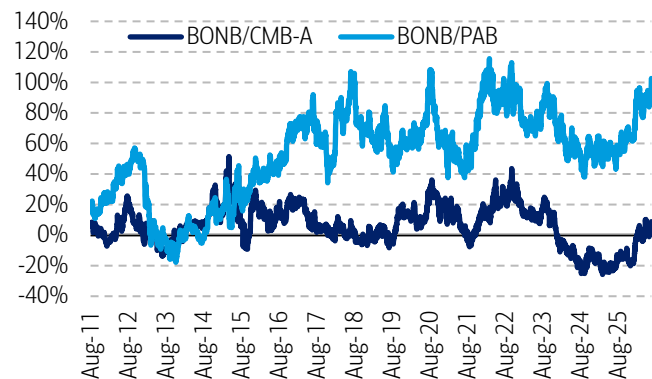


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 17: BONB's P/B was 9% higher and 103% higher than CMB-A and PAB

Relative P/B: BONB's premium over CMB-A & PAB

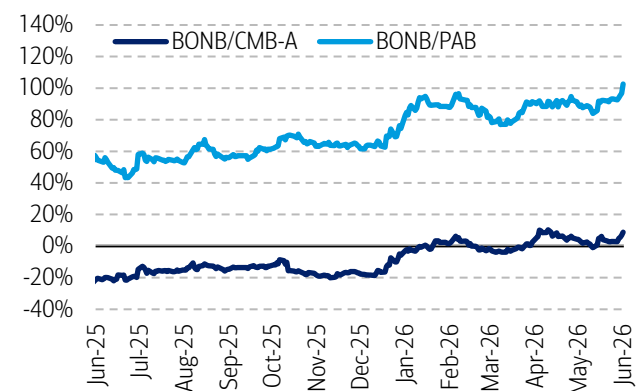


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 18: BONB's premium over CMB-A and PAB both enlarged WoW

Relative P/B: BONB's premium over CMB-A & PAB (LTM)

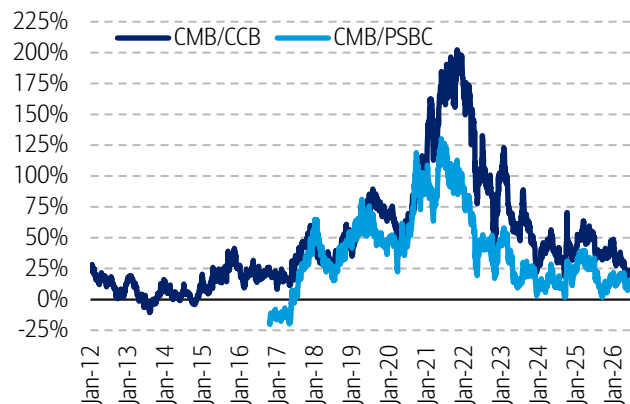


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 19: CMB's P/E was 19% and 13% higher than CCB and PSBC's

Relative P/E: CMB's premium over CCB & PSBC

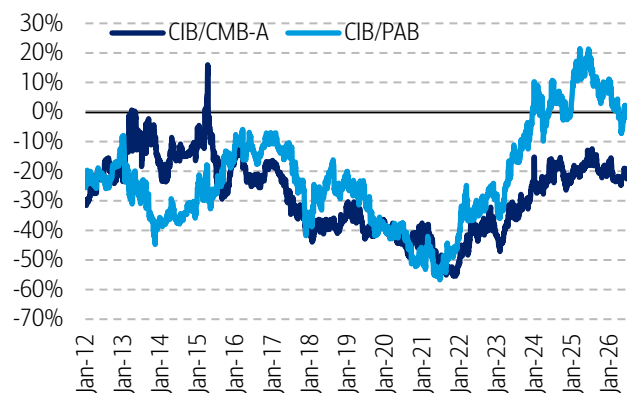


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 21: CIB's P/E was 22% and 1% lower than CMB-A's and PAB's

Relative P/E: CIB's discount to CMB-A and PAB

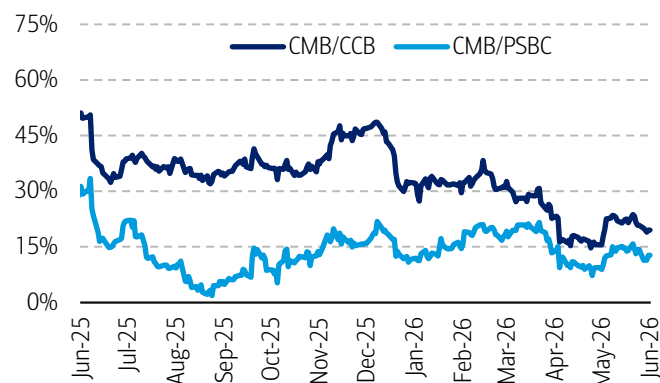


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 20: CMB's P/E premium over CCB enlarged, premium over PSBC narrowed WoW

Relative P/E: CMB's premium over CCB & PSBC (LTM)

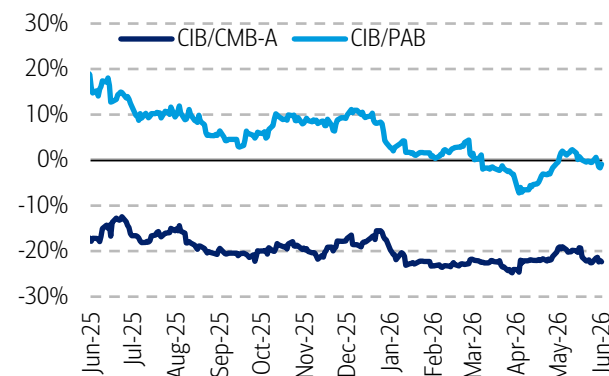


Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Exhibit 22: CIB's P/E discount to CMB-A narrowed, to PAB unchanged WoW

Relative P/E: CIB's discount to CMB-A and PAB (LTM)



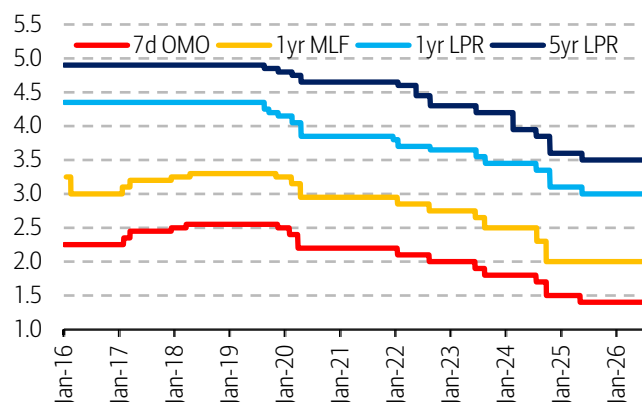
Source: Bloomberg, as of June 26, share price here doesn't adjust for dividend

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Interest rates and NCDs

Exhibit 23: Major policy rate remained unchanged WoW

Major policy rate (%)

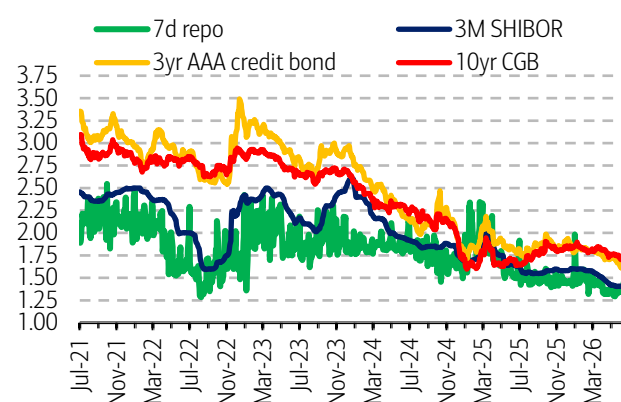


Source: Bloomberg, Wind, as of June 25

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Exhibit 24: 3-year AAA credit bond yield remained stable WoW

Major policy rate (%)

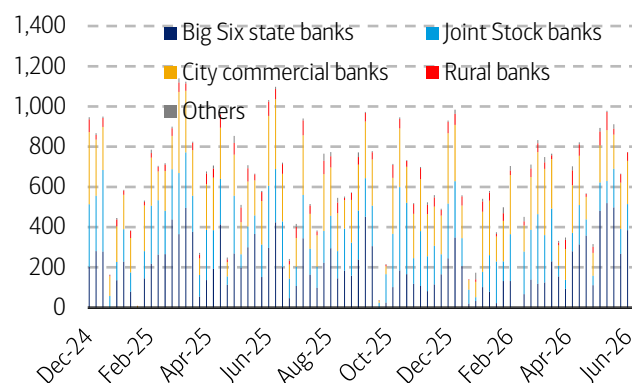


Source: Bloomberg, Wind, as of June 25, *CGB: China Government Bond

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Exhibit 25: Gross issuance was RMB1239bn from June 15 to June 21

Weekly NCD gross issuance by bank type (RMB bn)

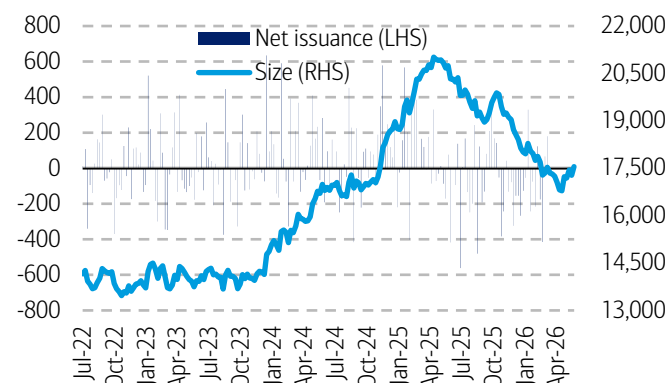


Source: Wind, as of June 21, *NCD: Negotiated Certificate of Deposits

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Exhibit 26: NCD size increased from RMB17.3tn to RMB17.6tn WoW

Weekly NCD net issuance and outstanding size (RMB bn)

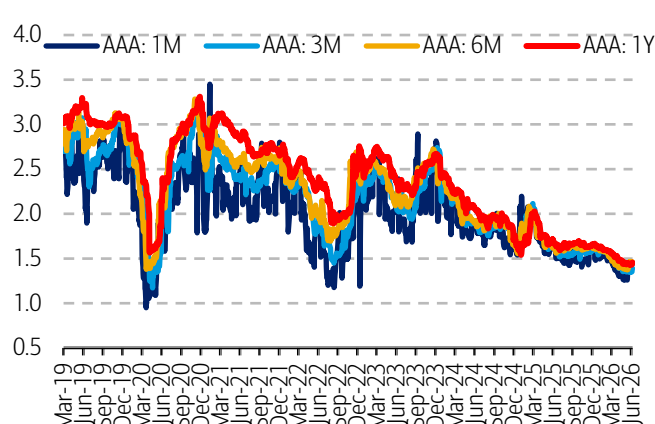


Source: Wind, as of June 21, *NCD: Negotiated Certificate of Deposits

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Exhibit 27: AAA rated NCD yields rose by 1-3bps for 1M&1Y tenors, declined by 1-2bps for 3M-6M tenors WoW

Yield to maturities of AAA rated NCD (%)

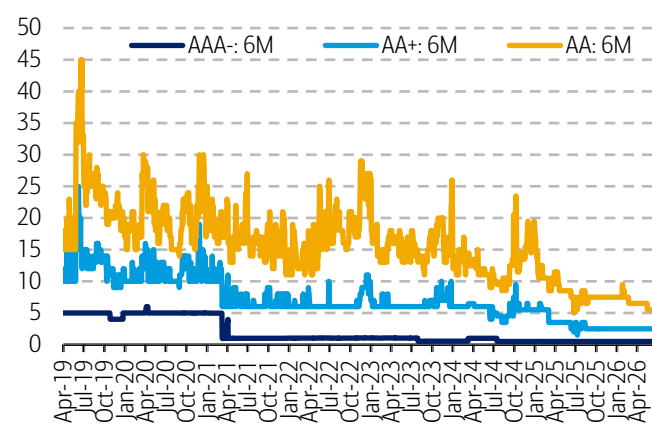


Source: CEIC, as of June 25, *NCD: Negotiated Certificate of Deposits

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Exhibit 28: Credit spread of AA+/AA rated NCD over AAA rated declined by 1bp WoW

Credit spread over AAA rated NCD (bp)



Source: CEIC, as of June 25, *NCD: Negotiated Certificate of Deposits

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Convertible bond tracker

Exhibit 29: CSRB is close to mandatory CB conversion price

Share price vs. convertible bond mandatory conversion price

Bank	Maturity date	Current price	Current conversion price	Mandatory conversion price	Upside to reach conversion price	Upside to reach mandatory conversion price
CIB	12/27/2027	16.77	20.13	26.17	20.0%	56.0%
CSRB	9/15/2028	5.92	5.25	6.83	-11.3%	15.3%

Source: Wind, as of June 26, 2026

BofA GLOBAL RESEARCH

Ping An's holding in H-share banks

Exhibit 30: Ping An Asset Management bought ABC on May 20, 2026

Ping An Asset Management's purchase of H-share banks

Target	Date	% stake of H shares	% stake of total shares
ABC	1/3/2025	5.03%	0.44%
ABC	2/5/2025	6.08%	0.53%
ABC	2/13/2025	7.09%	0.62%
ABC	2/19/2025	8.06%	0.71%
ABC	2/27/2025	9.04%	0.79%
ABC	3/10/2025	10.04%	0.88%
ABC	3/20/2025	11.08%	0.97%
ABC	5/6/2025	12.05%	1.06%
ABC	5/14/2025	13.02%	1.14%
ABC	5/22/2025	14.11%	1.24%
ABC	6/5/2025	15.09%	1.33%
ABC	6/13/2025	16.00%	1.41%
ABC	8/18/2025	17.07%	1.50%
ABC	9/3/2025	18.00%	1.58%
ABC	9/25/2025	19.09%	1.68%
ABC	10/16/2025	20.01%	1.76%
ABC	10/28/2025	21.02%	1.85%
ABC	11/11/2025	22.05%	1.94%
ABC	12/9/2025	23.16%	2.03%
ABC	12/11/2025	24.01%	2.11%
ABC	12/22/2025	25.01%	2.20%
ABC	12/30/2025	26.11%	2.29%
ABC	4/22/2026	27.14%	2.38%
ABC	5/6/2026	28.03%	2.46%
ABC	5/20/2026	29.20%	2.56%
CCB	12/18/2024	5.01%	4.82%
CCB	5/6/2025	4.99%	4.80%
CMB	1/7/2025	5.00%	0.91%
CMB	2/6/2025	6.06%	1.10%
CMB	2/19/2025	7.03%	1.28%
CMB	2/27/2025	8.13%	1.48%
CMB	3/5/2025	9.01%	1.64%
CMB	3/12/2025	10.04%	1.83%
CMB	3/26/2025	11.53%	2.10%
CMB	5/6/2025	12.04%	2.19%
CMB	5/19/2025	13.17%	2.40%
CMB	5/30/2025	14.07%	2.56%
CMB	6/17/2025	15.12%	2.75%
CMB	7/28/2025	16.03%	2.92%
CMB	10/9/2025	17.05%	3.10%
CMB	10/21/2025	18.04%	3.28%
CMB	10/31/2025	19.01%	3.46%
CMB	11/17/2025	20.02%	3.64%
CMB	11/26/2025	21.13%	3.85%
CMB	12/9/2025	22.28%	4.06%
CMB	12/19/2025	23.09%	4.20%
CMB	12/30/2025	24.18%	4.40%
CMB	3/25/2026	25.03%	4.56%
ICBC	5/23/2024	14.00%	3.41%



Exhibit 30: Ping An Asset Management bought ABC on May 20, 2026

Ping An Asset Management's purchase of H-share banks

Target	Date	% stake of H shares	% stake of total shares
ICBC	7/30/2024	15.00%	3.65%
ICBC	12/13/2024	16.02%	3.90%
ICBC	1/10/2025	17.11%	4.17%
ICBC	1/20/2025	18.03%	4.39%
ICBC	2/12/2025	19.02%	4.63%
PSBC	12/24/2024	5.00%	1.00%
PSBC	2/6/2025	6.05%	1.21%
PSBC	2/19/2025	7.02%	1.41%
PSBC	3/5/2025	8.08%	1.62%
PSBC	3/18/2025	9.05%	1.81%
PSBC	5/6/2025	10.05%	2.01%
PSBC	5/20/2025	11.02%	2.21%
PSBC	6/9/2025	12.00%	2.40%
PSBC	6/25/2025	13.02%	2.61%
PSBC	7/15/2025	14.05%	2.81%
PSBC	7/31/2025	15.06%	3.02%
PSBC	8/25/2025	16.01%	3.21%
PSBC	9/30/2025	17.03%	3.41%

Source: HKEX

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China CITIC Financial AMC's holding in H-share banks**Exhibit 31: China CITIC Financial AMC kept buying BOC-H shares until Sep 5, 2025**

China CITIC Financial AMC's purchase of H-share banks

Target	Date	% stake of H shares	% stake of total shares
BOC	6/30/2024	12.56%	3.57%
BOC	4/30/2025	13.11%	3.72%
BOC	5/15/2025	14.07%	4.00%
BOC	5/27/2025	15.17%	4.31%
BOC	6/5/2025	16.10%	4.57%
BOC	6/13/2025	17.32%	4.92%
BOC	6/27/2025	18.02%	5.12%
BOC	9/5/2025	19.00%	5.40%
CNCB	6/23/2025	7.55%	2.02%
CEB	11/25/2025	10.04%	2.15%

Source: HKEX

BofA GLOBAL RESEARCH

Ex dividend schedule**Exhibit 32: China banks ex dividend schedule**

ABC and ICBC's ex-dividend dates moved earlier this year alongside capital injection scheduling.

	2H25 DPS (RMB)	H-share			A-share		
		Dividend yield	Ex-date	Pay-date	Dividend yield	Ex-date	Pay-date
ABC	0.13	2.81%	5/4/2026	6/16/2026	2.10%	5/13/2026	5/13/2026
BOC	0.12	2.66%	7/2/2026	8/19/2026	2.03%	7/10/2026	7/10/2026
BoComm	0.17	2.78%	7/2/2026	8/14/2026	2.59%	TBC	TBC
CCB	0.20	2.83%	7/2/2026	8/21/2026	2.07%	7/11/2026	7/11/2026
ICBC	0.17	2.94%	5/4/2026	6/16/2026	2.36%	5/13/2026	5/13/2026
PSBC	0.10	2.30%	7/3/2026	8/19/2026	1.94%	TBC	TBC
CEB	0.07	2.58%	7/2/2026	8/20/2026	2.36%	TBC	TBC
CMB	1.00	2.59%	7/2/2026	8/21/2026	2.79%	TBC	TBC
CNCB	0.19	3.27%	5/18/2026	7/6/2026	2.71%	6/10/2026	6/10/2026
MSB	0.05	1.90%	6/22/2026	8/10/2026	1.61%	7/2/2026	7/2/2026
CIB	0.50				2.99%	6/12/2026	6/12/2026
SPDB	0.42				4.79%	TBC	TBC
PAB	0.36				3.52%	6/12/2026	6/12/2026

Exhibit 32: China banks ex dividend schedule

ABC and ICBC's ex-dividend dates moved earlier this year alongside capital injection scheduling.

	2H25 DPS (RMB)	H-share			A-share		
		Dividend yield	Ex-date	Pay-date	Dividend yield	Ex-date	Pay-date
BOCD	0.92				5.13%	TBC	TBC
BOHZ	0.28				1.89%	6/15/2026	6/15/2026
BOJS	0.23				2.10%	TBC	TBC
BONB	0.90				2.89%	TBC	TBC
BONJ	0.22				2.18%	6/15/2026	6/15/2026
BOSZ	0.15				2.11%	6/24/2026	6/24/2026
CQRB	0.12	2.27%	6/8/2026	7/27/2026	1.87%	6/16/2026	6/16/2026
CSRB	0.11				1.84%	6/9/2026	6/9/2026
SHRB	0.12				1.45%	6/29/2026	6/29/2026

Source: company reports, Bloomberg; as of June 26, *those who have distributed 1H25 dividend will only distribute 2H25 dividend this time. TBC = to be confirmed.

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Bank abbreviations

ABC: Agricultural Bank of China
 BOC: Bank of China
 BoComm: Bank of Communications
 CCB: China Construction Bank
 ICBC: Industrial and Commercial Bank of China
 PSBC: Postal Savings Bank of China
 CEB: China Everbright Bank
 CMB: China Merchants Bank
 CNCB: China CITIC Bank
 MSB: China Minsheng Bank
 CIB: China Industrial Bank
 SPDB: Shanghai Pudong Development Bank
 PAB: Ping An Bank
 BOCD: Bank of Chengdu
 BOHZ: Bank of Hangzhou
 BOJS: Bank of Jiangsu
 BONB: Bank of Ningbo
 BONJ: Bank of Nanjing
 BOSZ: Bank of Suzhou
 CQRB: Chongqing Rural Commercial Bank
 CSRB: Changshu Rural Commercial Bank
 SHRB: Shanghai Rural Commercial Bank
 BEA: Bank of East Asia
 BOCHK: Bank of China (Hong Kong) Limited
 StanChart: Standard Chartered

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